

two of them before opening a Roth IRA.

1. Tuck away at least \$1,000 for emergencies.
2. Pay off your credit card debt. At the very least, make significant headway on your debt and have a plan for its elimination.

Here's one excellent way to begin your retirement savings: When you've finished paying off your debt, take the amount you were using for this each month and, instead of spending it, stick it into a retirement account. You've already developed the habit of using the money to improve your financial life; this is just another way to do it!

WHERE TO OPEN A ROTH IRA

Deciding where to open your Roth IRA is the most difficult part of the process! Many financial institutions offer IRAs. Each place has its own strengths and weaknesses. It's important to search for a company that suits *your* needs. Don't fret about finding the perfect match—find a good match and then get the IRA in motion. Questions to ask during your research include:

- Is there a minimum initial investment? Minimum contributions?
- What sorts of fees are assessed to the account?
- Does the company offer automatic contributions?
- What investment options are available? Can you invest in stocks? Mutual funds? Real estate?
- Is it possible to download statements automatically into Quicken?
- How reputable is the provider?

If you already have an investment advisor, ask her for recommendations, but look for other options, too. Some banks and credit unions offer Individual Retirement Accounts. My credit union, for example, has Roth accounts, but they're limited to certificates of deposit at 1.50% (as of 2009; now they're about 3% for a 5-year CD).

If you're willing to make some decisions on your own, you can open a self-directed IRA through a mutual fund company or through an online discount brokerage.

THE BIG FIVE

Fidelity Investments, Charles Schwab, E-Trade Financial, Ally Invest, and The Vanguard Group are five of the best online places to start. As Vintek,